

Will Unkles is a financial planner and mortgage broker at 40 Forty Finance who specialises in helping first home buyers. One simple method he uses to keep his savers on track is to stick a reminder on their debit cards, sparking a second thought at the cash register. Unkles subscribes to the ‘need versus want’ test for each expenditure:

For every transaction you make, be it online, in person with cash, or tap and go, I have you question it; I put stickers on EFTPOS cards that ask, ‘Is this a need or a want?’ Your coffee is a want; it is not a need. If you live within five kilometres of the city, public transport is a want, not a need; get a bike, walk, get up earlier. If you’re earning \$60,000 and you are saving \$5000, just by omitting a few things, you can double your savings. Where you get depressed is where you think, ‘Oh my God, \$10,000 still doesn’t buy me anything – what’s the point?’ But the point is that doing nothing won’t get you anywhere.

Unkles sounds like a hard taskmaster, but he is an exponent of the same whistle-blowing discipline that a coach would demand of an athlete. Buying a home requires the same goal-setting and long-term focus as an Olympian pursuing a medal – your podium finish is to be the last one standing when the hammer falls at auction.

There is no one-size-fits-all savings plan, but Unkles has a simple, tailorable technique. He takes his clients through their transaction statements for every account and debit or credit card, and classifies everything they are spending in ‘buckets’; this identifies areas to cut back and generate savings.

BUCKETS:

NEEDS

For example:

- Groceries
- Rent
- Transport

WANTS

For example:

- Eating and drinking out
- Entertainment
- Holidays